

Accounting for Business Combinations

Slide deck 2

Agenda

I. Preface on Business Combinations

II. Consolidation and the Concept of “*control*”

III. The preparation of the consolidated financial statements

A. Separate F/S collection and pre-consolidation adjustments to make them uniform

B. Aggregation of the separate F/S

C. Consolidation adjustments

- 1) Investment write-off, calculation of <<non-controlling interest>> and goodwill
- 2) Depreciation/amortization of plusvalues (minusvalues)
- 3) Elimination of intercompany transactions: receivables/payables/revenues/expenses
- 4) Elimination of intercompany profits on sale of goods
- 5) Elimination of intercompany profits on sale of long-lived assets
- 6) Elimination of intercompany dividends
- 7) Computation of NC net income

D. The completion of the work: the consolidated financial statements

What are “consolidation adjustments”?

As already illustrated, consolidation adjustments are those adjustments used (mainly) to eliminate what is superfluous within the aggregated financial statements.

For example, if a company “Alfa” (*that is part of a group*) has a receivable from another company “Beta” (*that is also part of the same group*), the aggregated financial statements would show both (i) Alfa’s receivable from Beta, and (ii) Beta’s payable to Alfa.

However, since consolidation adjustments serve to eliminate what would not exist if the different legal entities were a single one, it is clear that such a receivable and such a payable must be eliminated. In fact, if “Alfa” and “Beta” were a single legal entity with two business units, that company “Alfa-Beta” could never record a receivable or a payable vis-à-vis itself.

From this point onward, all consolidation adjustments will be illustrated, together with their rationale and the operational procedures for their implementation.

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IIIC-1) Investment write-off, calculation of non-controlling interest and goodwill (1/2)

The first consolidation adjustment consists of eliminating, using the values as of the acquisition date,

- (i) the investment held by the parent company in the subsidiary (therefore reducing, as a credit entry, the assets balance of the aggregated financial statements) and
- (ii) the book value of the subsidiary's equity (therefore reducing, as a debit entry, the items that make up the subsidiary's book equity).

In essence, **this consolidation adjustment eliminates the duplication arising from the fact that the investment** (recorded among the parent's assets) **is nothing more than the subsidiary's equity**. For this reason, both must be eliminated from the aggregated financial statements.

Example (1/2)

An easy *Example* to clarify intuitively...

- Let's assume we are Firm A and we acquire 100% of shares of Firm B.
- B has PPE that we need and to make it simple, we assume that the fair value of such assets in the Balance sheet is equal to their book value.

Firm A - Balance Sheet

Cash	200	Liabilities	300
Assets	300		
		Equity	200

Firm B - Balance Sheet

PPE	100	Liabilities	0
		Equity	100

*Before the
Acquisition*

Example (2/2)

Firm A - Balance Sheet

Cash	100	Liabilities	300
Assets	300		
Investments in B	100	Equity	200

Firm B - Balance Sheet

PPE	100	Liabilities	0
		Equity	100

*After the
Acquisition*



Consolidated Statements

Firm A - Consolidated Balance Sheet

Cash	100	Liabilities	300
Assets	300		
PPE	100		
Investments in B	100	Equity	200

IIIC-1) Investment write-off, calculation of non-controlling interest and goodwill (2/2)

The difficulty arises, however, when (as normally happens) the value of the investment recorded among the assets differs from the book value of the equity, because the **acquirer pays more** than the net book value of the acquired company's assets, net of liabilities. Why does the acquirer pay more? For two categories of reasons:

- the existence of plusvalues (fair value > book value) on specific assets of the acquired company, and/or
- the existence of expectations of future benefits from the acquisition; in accounting, these “expectations” have a specific name and are defined as **GOODWILL** (see Chapter 8, Libby Book).

As a matter of fact, the carrying value of the investment is the net fair value of all assets and liabilities of subsidiary acquired by parent at acquisition date. Therefore, after aggregating line by line the balances of the target (acquiree) with the one of the acquirer, the investment in the subsidiary has to be eliminated. In fact, the value of the investment in the investee reported by the acquirer represents the summary of the values of individual assets and liabilities of the target.

Remember: **Fair value** is defined as “*The amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction.*”

- If paid price exceeds total fair value → GOODWILL, asset to be impaired each year.
- If paid price is lower than total fair value → BADWILL, to be allocated to IS as a gain.

Purchase Price Allocation (PPA)

PPA is the process through which we determine: (i) the fair value of the acquiree's assets and liabilities; and (ii) Goodwill/Badwill. It also serves as the starting point for determining non-controlling interests. Steps to be followed in the PPA:

- i. reversal of the value of the investment;
- ii. write-off of subsidiary book value equity at acquisition date;
- iii. recognition of surplus/minus values at acquisition date;
- iv. recognition of deferred tax on surplus/minus values at acquisition date;
- v. Recognition of Non-Controlling Interest (i.e. the value of equity attributable to minorities if parent own less than 100%);
- vi. recognition of Goodwill (or negative difference):

$$\begin{array}{rcl}
 & + & \text{Purchase Price paid} \\
 \text{Proportionate interest in the} & \left\{ \begin{array}{l} - \text{ Book value of the subsidiary's equity (on a pro-rata basis)} \\ \text{FV of acquiree's net assets} \end{array} \right. & + / - \text{ Change in assets and liabilities' values (on a pro-rata basis) of subsidiary} \\
 & & - / + \text{ Tax effects on those changes} \\
 \hline
 & = & \text{Goodwill (if positive)/Badwill (if negative)}
 \end{array}$$

NOTE 1: No tax effects are recognized on Goodwill or on Badwill.

NOTE 2: The subsidiary's *Equity Value* to be used is that at the acquisition date.

Consolidation Methods

Goodwill may be recorded in one of two ways:

- only for the portion acquired by the parent, under the Acquisition Method; or
- in full, under the Full Goodwill Approach.

Note: Under both approaches, subsidiaries are consolidated at 100%, and their assets and liabilities are measured at fair value.

When the parent does not own 100% of the subsidiary, the consolidated financial statements must also recognize the portion of ownership values attributable to third party shareholders, called **Non-Controlling (Minority) Interests**, determined as follows:

- With the acquisition method: it will be the Fair Value of the non-controlling interest's percentage (no Goodwill will be given to the non-controlling shareholders).
- With the Full Goodwill approach: it will be the percentage of the Enterprise Value that belongs to non controlling interests (i.e., Including the Goodwill). *Notice, in this case the amount will be already provided.*

Exercise 1 – Acquisition method (Text)

- On Jan 1, Alpha acquires 90% of Beta for 12,000
- Beta equity at acquisition: 11,000
- Fair value adjustment: Property +1,000 (6,000 → 7,000)
- Tax rate: 50%

Required: compute Goodwill and NCI using Acquisition method

Exercise 1 – Acquisition method (Solution)

+	Purchase Price paid (12,000)	+12,000
-	Book value of the subsidiary's equity (on a pro-rata basis) (90%*11,000)	-90%*11,000
+/-	Change in assets and liabilities' values (on a pro-rata basis) of subsidiary (90%*1,000)	-90%*1,000
-/+	Tax effects on those changes (50%*1,000)	+50%*90%*1,000
=	(Proportional) Goodwill	= 1,650

- Assets Surplus = $7,000 - 6,000 = 1,000$
 - Deferred Tax Liability = $50\% * 1000 = 500$
 - FV of Beta's equity = $11,000 + 1,000 - 500 = 11,500$
- $\Rightarrow \text{NCI} = 10\% * 11,500 = \mathbf{1,150}$

Exercise 2 – Full Goodwill method (Text)

- On Jan 1, Alpha acquires 90% of Beta for 12,000
- Beta equity at acquisition: 11,000
- Fair value adjustment: Property +1,000 (6,000 → 7,000)
- Tax rate: 50%
- *Fair value of NCI is given as 1,500.*

Required: compute Goodwill using Full Goodwill method

Exercise 2 – Full Goodwill method (Solution)

+	Purchase Price paid (12,000)	+12,000
-	Book value of the subsidiary's equity (on a pro-rata basis) (90%*11,000)	-90%*11,000
+/-	Change in assets and liabilities' values (on a pro-rata basis) of subsidiary (90%*1,000)	-90%*1,000
-/+	Tax effects on those changes (50%*1,000)	+50%*90%*1,000
=	(Proportional) Goodwill	= 1650

- Assets Surplus = $7000 - 6000 = 1000$
 - Deferred Tax Liability = $50\% * 1000 = 500$
 - FV of Beta's equity = $11,000 + 1,000 - 500 = 11,500$
- $\Rightarrow \text{NCI} = 10\% * 11,500 = 1,150$

$$\text{Full Goodwill} = 1,650 + (1,500 - 1,150) = 2,000$$

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IIIC-2). Depreciation/amortization of plusvalues (minusvalues) (1/2)

In the first consolidation adjustment, we have (among other things) eliminated the investment, eliminated the equity of the subsidiary, and recognized (at 100%) the plusvalues on specific assets. (*)

However, during the years in which these specific assets are subject to depreciation or amortization in the separate financial statements, the related plusvalue recognized in consolidated F/S at the date of acquisition must also be depreciated or amortized.

The rationale is that if, at the time of acquiring a company, I paid more because I acknowledged the existence of a higher value on an asset, as time passes, also the higher value of that asset decreases and so must be depreciated/amortized. Consequently, not only does the book value initially recognized decrease (in the separate F/S), but so does the plusvalue for which I paid (in the consolidated F/S).

At the same time, it is also necessary to reduce (if the case is a plusvalue on assets) the deferred tax liabilities that were recognized in the first consolidation adjustment. This is because, in the first consolidation adjustment, I recognized both the plusvalue and the related deferred tax liabilities for the entire amount of the uplift; now that I reduce the plusvalue, I must also reduce the deferred tax liabilities previously recorded.

() The same applies, mutatis mutandis, to minusvalues on specific assets, and to plus/minusvalues on specific liabilities.*

IIIC-2). Depreciation/amortization of plusvalues (minusvalues) (2/2)

In other words, surpluses (or deficits) of assets and liabilities are treated the same way as the related asset or liability:

- If linked to a depreciable asset (e.g., PPE, Patent, etc.), spread (depreciate / amortize) over the asset's remaining useful life.
- If linked to non-depreciable assets or liabilities (e.g., Accounts receivables, Inventories, Land, Provisions etc.), not depreciated/amortized but tested for impairment (IAS 36).

Special Case: Goodwill

- Goodwill is not amortized
- No tax effect is recorded on it.
- However, it must be tested for impairment at least once per year. Thus, if its value decreases, record an impairment loss immediately.